REPORTABLE 07

(1) JOSEPHAT GWATIDA (2) MAXWELL CHAENDERA (3) PEARSON MSEVENZI (4) DAVID MUGABE (5) LOVEMORE MLAMBO (6) JOSHUA CHIGOVA (7) BERNARD RUVETSA (8) SIYAI MOZHENDI (9) ROBERT WISKESI (10) PRECIOUS NYIKA (11) EDISON DENGU (12) TAPIWA KUMUTSANA (13) BETTY KIYANA MANDAVA (14) ONESIMUS BHEBHE (15) MAZURUSE MAHLASERA (16) AARON DZIMIRI (17) DANIEL CHINODYA (18) AARON PAUNDI (19) DENNIS CHADENGA (20) DENNIS PARADZA (21) VINCENT MOYO (22) GILBERT GUMBA (23) ABEL BANDA (24) SAIMON MUTAVIKWA (25) MEMORY NCUBE (26) TASISIYO KWINDINGWI (27) KUDAKWASHE MHLANGA

v

(1) MINISTER OF JUSTICE, LEGAL & PARLIAMENTARY AFFAIRS (2) ATTORNEY GENERAL (3) SMM HOLDINGS

CONSTITUTIONAL COURT OF ZIMBABWE
GWAUNZA DCJ, GARWE JCC, GOWORA JCC, HLATSHWAYO JCC, PATEL JCC MAVANGIRA AJCC & MATHONSI AJCC
HARARE: 28 MAY 2025, 14 JANUARY& 17 JUNE, 2026

L. Madhuku with *C. Ndlovu,* for the applicants

T.S. Musangwa, for the 1st and 2nd respondents

T. Magwaliba, for the 3rd respondent

GOWORA JCC:

INTRODUCTION

[1] The applicants approached the High Court under s 85(1) of the Constitution alleging a violation of their fundamental rights enshrined under sections 65(1) and 56(1) of the Constitution

respectively. Specifically, they sought an order of invalidity in respect of s 28(2) of the Reconstruction of State Indebted Insolvent Companies Act [*Chapter 24:27*] (the Reconstruction Act), on the premise that it prevented them from accessing their terminal benefits after dismissal from employment or their retrenchment. Before this Court is an application for confirmation of an order of constitutional invalidity granted pursuant to the above application in terms of s 175(1) of the Constitution as read with r 31 of the Constitutional Court Rules, 2016, that was issued by the High Court sitting at Masvingo, handed down by Zisengwe J on 24 February 2025, under judgment number HMA 08-25.

[2] In terms of s 175, an order concerning the constitutional invalidity of any law or any conduct of the President or Parliament has no force unless and until it is confirmed by the Constitutional court. It is trite that confirmation proceedings are in the form of a review and the Court may either confirm the declaration of invalidity, set it aside or make any order that is just and equitable.

[3] In terms of the rules of the Court, the order of the High Court was referred to this Court for purposes of confirmation in accordance with s 175(1) of the Constitution and r 36(1) which make it mandatory for the registrar of a subordinate court which grants an order of constitutional invalidity to file with the Registrar of this Court a copy of the record of proceedings which shall include the reasons for judgment and the Court order.

[4] The parties appeared before this Court for hearing of the matter on 28 May 2025 after which judgment was reserved. In the course of preparing this judgment, the Court identified two issues that required further clarification and additional submissions from the parties. Consequently, on 7 November 2025, the parties were directed to attend a case management

hearing at which the Court formally articulated the issues that had engaged its attention. The issues so identified were framed as follows:

1. Whether s 28 of the Reconstruction Act overrides s 13, as read together with s 2A (3), of the Labour Act [*Chapter 28:01*]; and
2. The effect, (if any), on the present confirmation proceedings of the omission by the court *a quo* to make a determination on that issue.

[5] At the conclusion of the case management hearing, the Court directed the parties to file supplementary heads of argument on the issues so identified within stipulated time lines.

[6] The respondents complied with the directions by the Court and duly filed written submissions in response to the issues raised by the Court. The applicants did not file any supplementary heads of argument and consequently, were barred.

[7] At the resumed hearing on 14 January 2026, Mr *Madhuku*, for the applicants, accepted that the applicants were barred for failing to file their supplementary heads of argument. He further indicated that they did not intend to seek condonation and would merely observe the proceedings.

FACTUAL BACKGROUND

[8] The applicants are former employees of the third respondent, which is a company under reconstruction. The first and second respondents have been cited as the responsible authorities in charge of the legislative drafting processes. The first respondent has also been cited on the basis that he placed the third respondent under reconstruction.

[9] In 2004, the third respondent was placed under reconstruction as a result of severe financial challenges that left it unable to fulfil its financial and legal obligations to the State. Following the commencement of the reconstruction process, the applicants' employment was terminated in October 2011, either through dismissal or retrenchment. The third respondent

subsequently acknowledged its indebtedness to the applicants in respect of their terminal benefits.

[10] As part of their conditions of service, the applicants were permitted to lease houses by the third respondent. Upon the termination of their contracts of employment, their entitlement to occupy those properties ceased. The third respondent thereafter instituted court proceedings seeking their eviction. In those proceedings, the applicants counterclaimed and sought to assert rights of retention or lien as a defence to the eviction. They were unsuccessful and were duly evicted.

[11] Following their eviction from company accommodation and their inability to obtain payment of their terminal benefits, the applicants sought to institute legal proceedings against the third respondent but were confronted by the requirement in s 6(b) of the Reconstruction Act that they first obtain leave of the administrator of the third respondent to institute such proceedings. They therefore wrote to the administrator and sought permission to institute proceedings against the company. The administrator did not respond to their written request.

PROCEEDINGS BEFORE THE COURT *A QUO*

[12] As a result of this impasse, the applicants instituted a constitutional challenge to s 28(2) of the Reconstruction Act in the court *a quo* in terms of s 85(1) as read with ss 171(1)(c) and 175(6) of the Constitution. They contended that the provision disabled them from claiming their terminal benefits as it excludes employees and former employees of companies under reconstruction from the protections ordinarily afforded by the Labour Act, particularly in matters of retrenchment, dismissal, and termination of employment contrary to the provisions of s 13 of the Labour Act. The applicants argued that this situation infringed their constitutional rights to

fair labour practices under s 65(1) and to equality before the law under s 56(1) of the Constitution.

[13] The applicants averred that section 28(2) unjustifiably shields the third respondent from liability for non-payment of terminal benefits by imposing no time limit on the reconstruction process. They argued that this allows the third respondent to evade statutory obligations under labour laws, ultimately causing the prolonged non-payment of terminal benefits, economic hardship, and destitution. They maintained that it is neither fair nor reasonable to expect them to wait indefinitely for benefits owed through no fault of their own and prayed that section 28(2) be declared unconstitutional.

[14] The application before the court *a quo* was opposed by the first and third respondents. Both respondents raised a preliminary point that the second to twenty-sixth applicants were not properly before the court *a quo* as they had not deposed to founding affidavits in support of the application but had merely filed supporting affidavits in favour of the first applicant. This was however not persisted with and it appears to have been abandoned before the court *a quo.*

[15] As to the merits, the first respondent argued that the application was fatally defective as the applicants had not specified the capacity in which they were suing. He further contended that s 28(2) of the Reconstruction Act constitutes a reasonable and justifiable limitation of labour rights under s 86 of the Constitution, adding that expecting a company under reconstruction to meet all its financial obligations would be unrealistic and contrary to the purpose of the reconstruction process.

[16] The first respondent also contended that the right to equal protection applied only to persons in situations that were comparable and, as the applicants were employees of a company under reconstruction, they could not be equated with employees of a company whose status was

solvent. Accordingly, any differential treatment was justified by the company's status as one under reconstruction.

[17] In turn, the third respondent argued that the application was a nullity due to the fact that the applicants had not sought leave to sue it and, accordingly, the application ought to be struck off the roll. It further contended that the relief sought by the applicants was incompetent, as the draft order had omitted a necessary provision for the confirmation of the decree of constitutional invalidity by this Court.

[18] On the merits, the third respondent contended that s 28(2) of the Reconstruction Act, which provides for the payment of terminal benefits for employees of companies under reconstruction, is not inconsistent with section 65 of the Constitution, which guarantees fair wages and salaries. It argued that section 28(2) does not deprive employees of their terminal benefits nor discriminate against them in a manner that would violate section 56(1). The third respondent, therefore, prayed for the application to be dismissed with costs on the higher scale.

DECISION OF THE COURT *A QUO*

[19] The court *a quo* observed that all the respondents had abandoned all the preliminary points they had raised in their notices of opposition. The matter was, therefore, heard on the merits.

[20] In dealing with the merits of the application, the court rejected the third respondent's reliance on s 6(b) of the Reconstruction Act holding that s 6(b), which requires obtaining the Administrator's leave before bringing a claim against a company under reconstruction, was not relevant to the dispute before it. It held that the issue before the court was not the restriction on the institution of proceedings, but rather the deprivation of former employees' access to the protections provided in terms of the Labour Act.

[21] Additionally, the court *a quo* found that the third respondent's reliance on s 103, now s 89, of the Insolvency Act was misplaced, noting that the Insolvency Act imposes a six-month timeframe in which the liquidator had to submit a liquidation and distribution account, after which any surplus must be used to pay creditors. In contrast, the Reconstruction Act contains no similar time limit for completing the reconstruction process and, thus, the process under the Reconstruction Act leaves employees' rights and benefits suspended indefinitely.

[22] On the alleged breach of s 56(1) of the Constitution, the court held that the key question was not whether employees of a company under reconstruction should be treated the same as those from financially stable companies, but whether s 28(2) of the Reconstruction Act affords them equal and fair treatment compared to employees of other financially distressed companies. The court found that the key problem with s 28(2) is its failure to set any time limit within which affected employees are paid their terminal benefits, in clear contrast to the Insolvency Act, which clearly prescribes specific timeframes for payment to former employees of insolvent companies.

[23] Thus, the court *a quo* upheld the challenge to the constitutional validity of s 28(2) of the Reconstruction Act and found the section to be unconstitutional because it imposed an indefinite suspension on employees' access to their terminal benefits without justification. It held that the provision was unfair, as it had left former employees uncompensated for nearly two decades. It held that the section was unreasonable, since the indefinite delay did not bear any proportional relationship to the aim of reviving the company. It also found the limitation imposed by the section to be unnecessary, as no evidence had been placed before it showing that withholding the employees' terminal benefits had improved the company's financial state in any manner. Finally, it held that the section was unjustifiable, as less restrictive measures, such as

setting a clear time limit, could have achieved the same objective without violating employees' rights.

[24] Accordingly, the court *a quo* gave the following order:

> "1. The application be and is hereby granted with no order as to costs.
> 2. It is declared that section 28(2) of the Reconstruction of State Indebted Insolvent Companies Act *[Chapter 24:27*] is constitutionally invalid, in that it violates labour rights as enshrined in section 65 (1) of the Constitution by suspending for an indeterminate period the operation of the Labour Act *[Chapter 28:01]* particularly section 13 of the same.
> 3. As a result of the declaration in paragraph (2) above, the legislature is enjoined to amend section 28 (2) of the Reconstruction of State Indebted Insolvent Companies Act to include a time frame or limit in which it will be in operation or in which a company may be reconstructed.
> 4. The operation of this order is suspended pending its confirmation by the Constitutional Court."

[25] The applicants now seek confirmation of this declaration of constitutional invalidity in terms of s 175(1) of the Constitution.

THE PRESENT APPLICATION

[26] In an affidavit filed before this Court, the applicants prayed for the confirmation of the declaration of invalidity. They contended that they had, before the court *a quo,* raised a constitutional matter that s 28(2) of the Reconstruction Act violated their rights in ss 56(1) and 65(1) of the Constitution. They further contended that s 28(2) of the Reconstruction Act has had devastating effects on their lives and dignity and that it had deprived them of the terminal benefits which were meant to help them start afresh after the termination of their contracts of employment. A number of affected former employees had since passed away without receiving these benefits and this deprivation was solely due to the impugned provision.

[27] They further averred that the Reconstruction Act, which was enacted in 2004 to address mismanagement in the third respondent, had instead operated as a punishment to the employees rather than a remedy for the benefit of the company and its employees. Additionally, they pointed out that the administrator had failed to revive the company for a period in excess of twenty years and that, regard being had to s 13 of the Labour Act, a delay of such duration could not be regarded as a reasonable period for the payment of terminal benefits and that a company cannot remain under reconstruction indefinitely, as the law must provide certainty and limits to the duration of the process in question.

[28] The applicants also contended that the right to receive terminal benefits is protected under s 65(1) of the Constitution, which guarantees fair labour practices and which therefore, must be interpreted in a broad, progressive and purposive manner. They contended that s 28(2) of the Reconstruction Act is unconstitutional because it does not specify a maximum period during which labour rights may be suspended, effectively resulting in the indefinite suspension of employees' rights. The applicants maintained that the provision is too broad and draconian to be justified under s 86(2) of the Constitution, and accordingly sought confirmation of the court *a quo*'s order declaring it unconstitutional.

IN OPPOSITION

[29] The first and second respondents oppose the application for confirmation. They contend that there was no concrete dispute between the parties justifying a constitutional inquiry into s 28(2) of the Reconstruction Act. The court *a quo* had improperly exercised its jurisdiction.

[30] On the merits, the first and second respondents maintained that no constitutional rights were infringed, as the applicants had failed to demonstrate how s 28(2) had violated their right to

equal protection under the law as provided for in s 56(1), nor had they established the existence of any comparable group that had received preferential treatment not afforded to themselves.

[31] Regarding the alleged breach of s 65(1) of the Constitution, the respondents submitted that the applicants had not substantiated how the provision infringed their labour rights. Accordingly, they urged the Court to dismiss the application for the confirmation of constitutional invalidity of s 28(2) of the Reconstruction Act.

[32] The third respondent also opposed the application. It contended that, although the High Court had jurisdiction under s 171 of the Constitution, it had exercised that power prematurely as the matter was not yet ripe for constitutional determination.

[33] On the merits, the third respondent contended that the court *a quo* erred in declaring s 28(2) of the Reconstruction Act unconstitutional. It further contended that the court *a quo* failed to interpret the provision in light of the overall purpose of the Act. Citing *Africa Resources Ltd & Others* v *Gwaradzimba & Others* SC 2-11, the third respondent emphasized that the purpose of the Reconstruction Act is to protect public funds by replacing the leadership of State-indebted companies with competent administrators with the objective of restoring the solvency thereof. It suggested that s 28(2) must be read together with s 89 of the Insolvency Act. Properly interpreted, where the payment of dues to employees are suspended, the scheme prioritizes repayment of public funds but does not deny employees their entitlements.

[34] Thus, maintained the third respondent, the High Court's conclusion that s 28(2) violated the right to a fair and reasonable wage under s 65 of the Constitution was misplaced, as the Act as a whole had previously been upheld to be constitutional. It further argued that where a

statutory provision admits of two interpretations, a court must adopt the one consistent with the Constitution.

[35] Further to the above, the third respondent argued that the applicants had failed to demonstrate any actual prejudice. It suggested that their case before the court *a quo* was pleaded in vague and unsatisfactory terms, with no evidence of specific amounts owed by the third respondent. In the absence of such evidence, the court *a quo* could not properly assess whether the applicants were prejudiced by the reconstruction process. It therefore argued that, given the lack of factual foundation, the court *a quo* overstepped its jurisdiction and improperly exercised its discretion in granting relief, thereby justifying interference by this Court.

[36] The third respondent also submitted that the applicants had impugned the wrong provision, as s 28(2) deals solely with the treatment of employees during reconstruction and not with the duration of a reconstruction order. It argued that the case pleaded by the applicants did not raise any challenge to the absence of a time limit for reconstruction. Their complaints were vague, hypothetical, and unrelated to the provisions of s 28(2).

[37] Additionally, submitted the third respondent, upon the cancellation or natural conclusion of the reconstruction, their rights under s 13 of the Labour Act and s 35(3) of the Reconstruction Act would be revived, thus ensuring recovery of any dues. In these circumstances, the matter was not ripe for a constitutional declaration, and the court *a quo* ought to have applied the doctrine of constitutional avoidance rather than striking down s 28(2).

[38] Regarding the alleged infringement of the right to equality under s 56(1), the third respondent contended that equal treatment does not require identical rules for all and employees of a company under reconstruction can legitimately receive terminal benefits under a separate

statutory framework. Consequently, the third respondent submitted that s 28(2) is neither unconstitutional nor unjustified.

[39] In conclusion, the third respondent submitted that the court *a quo* had failed to properly apply s 86 of the Constitution as s 28 of the Reconstruction Act constitutes a permissible limitation of rights, being a law of general application that is fair, reasonable, and necessary in the circumstances.

SUBMISSIONS BEFORE THE COURT

[40] The Court, mindful of the preliminary points raised by the respondents in opposition, required counsel, in addition to merits, to address it on the following issues:

i. Whether or not there was a ripe dispute before the High Court;
ii. Whether alternative remedies were available to the applicant and had been exhausted; and
iii. Whether the High Court had jurisdiction to hear the matter as presented.

[41] On behalf of the first and second respondents, Ms *Musangwa* submitted that no live dispute existed, contending that the applicants had failed to exhaust available internal remedies. She thus argued that the matter was, therefore, not ripe for adjudication and the Court *a quo* should therefore have declined jurisdiction to entertain it.

[42] Mr *Magwaliba*, counsel for the third respondent, submitted that there was no live dispute before the court *a quo*. He suggested that a dispute would only have arisen had the applicants invoked s 89 of the Insolvency Act and the third respondent had failed to comply with it. In such a scenario, the applicants could have approached the court *a quo* with a complaint, thereby triggering a justiciable dispute. He submitted that constitutional issues could not be raised "in the

air" and that the court *a quo* should have declined jurisdiction in light of the principles of subsidiarity and constitutional avoidance.

[43] On the issue of jurisdiction, Mr *Magwaliba*, similarly submitted that the applicants had alternative remedies available to them but had failed to exhaust them. He argued that the court *a quo* lacked jurisdiction by virtue of the operation of s 89 of the Insolvency Act, which was an avenue that the applicants ought to have utilised, and hence the doctrine of avoidance applied. He further contended that an alternative remedy existed under s 28(3) of the Insolvency Act, but that the applicants had not invoked it.

[44] Regarding the issue of jurisdiction, both counsel for the respondents acknowledged that the court *a quo* had jurisdiction to hear the matter but submitted that its exercise was constrained by the principles of constitutional avoidance and subsidiarity. They argued that the applicants had not exhausted the remedies available under the Reconstruction Act and the Insolvency Act and could not properly invoke the Constitution without first engaging subsidiary statutory provisions. Constitutional relief, they contended, is not available "in the air," and the applicants' failure to pursue available legislative remedies rendered the High Court's jurisdiction improperly invoked.

[45] In addressing the first issue, Mr *Madhuku,* for the applicants, submitted that the matter was not academic, but arose from a genuine dispute over unpaid salaries and terminal benefits following termination of the applicants' employment contracts in 2011. He noted that although the applicants initially sought leave to sue through the administrator and later pursued litigation after the eviction proceedings initiated by the administrator, these actions were unsuccessful, leaving their core claim unresolved. When they attempted further litigation, s 28(2) of the Reconstruction Act operated to exclude them from the protections of s 13 of the Labour Act,

denying them access to their terminal benefits. He contended that this exclusion caused tangible legal harm, giving rise to a real and justiciable dispute, grounded in continuing and lived statutory injury rather than hypothetical concerns.

[46] On the issue of the availability of alternative remedies, he challenged the adequacy and applicability of the alleged available remedies. He argued that s 89 of the Insolvency Act, which refers to the "free residue" of an estate, is only applicable where such residue actually exists. He submitted that in the present case, no free residue had materialized over a period of 24 years, thus rendering s 89 ineffective and incapable of providing any meaningful recourse to the applicants.

[47] Counsel further submitted that s 28(3) of the Reconstruction Act could not revive entitlements already excluded under s 28(2), as a statutory right, particularly a fundamental right such as fair labour practices, cannot be restored by implication. He further argued that s 5(2) of the Reconstruction Act was ineffective, offering no accessible or adequate mechanism for employment-related grievances, unlike the remedies under s 13 of the Labour Act, which guarantees timely payment of terminal benefits. Accordingly, counsel contended that the remedies suggested by the respondents as being available to the applicants were inapplicable, ineffective, or inaccessible, justifying direct recourse to the High Court.

[48] On the issue of jurisdiction, counsel for the applicants submitted that the High Court did, in fact, have jurisdiction under s 85 as read with s 171 of the Constitution, which empowers any person to approach the court directly where they allege that a fundamental right or freedom has been, is being, or is likely to be infringed. He argued that the applicants were precisely in that position, having been denied terminal benefits and barred from enforcing their rights due to the operation of s 28(2) of the Reconstruction Act.

SUPPLEMENTARY SUBMISSIONS

[49] In supplementary heads of argument and in oral argument before the Court, Ms *Musangwa*, for the first and second respondents, argued that the Reconstruction Act is a specialised statute enacted to address the exceptional circumstances of insolvent, state-indebted entities whose failure would pose systemic economic or financial risk, whereas the Labour Act is a general statute governing ordinary employment relationships. She further submitted that s 28 of the Reconstruction Act temporarily suspends the obligations imposed by the Labour Act in respect of companies placed under reconstruction.

[50] Relying on the principle of statutory interpretation, *lex specialis derogat legi generali*, the respondents contended that, where both statutes regulate the same subject matter, the specific legislation prevails over the general. Ms *Musangwa* submitted that s 28(2) of the Reconstruction Act, as a specific provision in a specialised Act, overrides the general provisions of ss 2A(3) and 13 of the Labour Act. On this basis, she argued that s 2A(3) of the Labour Act, being a statutory supremacy clause rather than a constitutionally entrenched provision, may be limited or derogated from by subsequent legislation and maintained that s 28 of the Reconstruction Act constitutes a permissible legislative exception.

[51] Counsel further submitted that, as a consequence, by operation of law, s 13 of the Labour Act does not apply to companies or employees under reconstruction, as it is concerned with dismissal, termination, resignation, incapacitation, or death, and makes no reference to entities undergoing reconstruction. Thus, counsel's position on this issue was that s 28 of the Reconstruction Act overrides the provisions of ss 13 and 2A(3) of the Labour Act.

[52] On whether the failure by the court *a quo* to deal with the above issue affected the proceedings before that court, Ms *Musangwa* initially submitted that, since it had not been raised before that court, it was correct for it not to have addressed it. However, following discourse with the Court, counsel conceded that the issue was relevant and ought to have been determined by the court *a quo*.

[53] *Per contra*, Mr *Magwaliba*, for the third respondent, noted that s 2A(3) of the Labour Act was introduced by the Labour Amendment Act No 7 of 2005, whereas s 28 of the Reconstruction Act was gazetted in 2004. Counsel submitted that by applying the canon of statutory interpretation that a later enactment prevails over an earlier one in the event of conflict, any apparent inconsistency would, in principle, be resolved in favour of the Labour Act.

[54] However, counsel contended, there was, in fact, no true conflict between the provisions and that, properly construed, s 28(2) of the Reconstruction Act, which excludes the application of the Labour Act, must be read together with s 28(3), which expressly provides that s 89 (formerly s 103) of the Insolvency Act [*Chapter 6:04*] applies to employees of a state-indebted company. It was argued that on the premise that the Legislature is presumed to be aware of the potential conflict between s 13 of the Labour Act and s 28(2) of the Reconstruction Act, employees' rights were then restored by s 28(3) and that this interpretive approach brings the Reconstruction Act into harmony with the Labour Act such that there is no conflict to speak of.

[55] On the failure by the court *a quo* to deal with the issue, counsel contended that such failure constituted an irregularity and therefore its order of constitutional invalidity could not be confirmed. He submitted that the doctrine of avoidance prevented the court *a quo* from proceeding directly to a declaration of constitutional invalidity, as alternative statutory remedies were available and should have been exhausted in accordance with the principle of subsidiarity.

[56] Further, and somewhat inconsistently with the foregoing submission, counsel argued that the court *a quo* could not have decided the issue whether s 28(2) could properly override s 13 as read with s 2A(3) of the Labour Act as the issue had not been expressly raised by the parties. It was submitted that had the court *a quo* considered the issue as material to the resolution of the dispute, it should have invited submissions from the parties before determining it.

[57] In conclusion, counsel submitted that the matter had to be resolved by first determining the second question. He submitted that the matter had to be remitted to the court *a quo* as a determination by this Court would bind the court *a quo* and prevent it from properly dealing with the issue. Counsel relied on *S* v *Chokuramba* CCZ 10-19 to emphasise that, in confirmation proceedings, the Court exercises review powers and may raise issues not dealt with by the lower court. He thus submitted that the Court had correctly flagged the first issue, which ought to have been raised by the court *a quo*.

[58] Counsel further relied on the case of *Mhora* v *Mhora* CCZ 5-22 for the submission that a constitutional matter must have properly arisen before the court *a quo* for this Court to be properly seized with the matter. Based on this, he submitted that the court *a quo* should have realised that the application before it was improper as the matter was capable of resolution on a non-constitutional basis arising from the claimed supremacy of the Labour Act over other statutes inconsistent with it. Counsel argued that s 2A(3) of the Labour Act potentially overrides the Reconstruction Act, indicating that the applicants had an alternative non-constitutional remedy. Accordingly, no constitutional issue properly arose before the court *a quo* and it ought not to have exercised its constitutional jurisdiction to determine the validity of the statute. Mr *Magwaliba* therefore sought a remittal of the matter to the court *a quo* for a determination of the non-constitutional issues raised by the Court.

[59] Based on these submissions, counsel suggested that this Court should remit the matter to the court *a quo* for rehearing of the question whether s 28(2) can properly override s 2A(3) of the Labour Act. He, therefore, prayed that the application for confirmation of constitutional invalidity be dismissed with costs on the legal practitioner and client scale.

ISSUES FOR DETERMINATION

[60] Based on the extensive submissions filed and orally made before this Court, the following issues arise for determination:

1. Whether or not there was a live dispute before the court *a quo*.
2. Whether or not s 28(2) of the Reconstruction Act overrides s 13 as read with s 2A(3) of the Labour Act.
3. The effect (if any) on the present confirmation proceedings of the omission by the court *a quo* to make a determination on that issue.
4. Whether or not the order of constitutional invalidity issued by the court *a quo* should be confirmed.

THE LAW

[61] Proceedings for the confirmation of an order of constitutional invalidity are primarily governed by s 167(3) of the Constitution, which vests this Court with the exclusive jurisdiction to make a final determination on the constitutional validity of any law. In addition, s 175 of the Constitution expressly makes it obligatory that this Court confirm an order of constitutional invalidity made by another court before it can have legal force.

[62] In this regard, s 175 states as follows:

> "**175 Powers of courts in constitutional matters**
>
> (1) Where a court makes an order concerning the constitutional invalidity of any law or any conduct of the President or Parliament, the order has no force unless it is confirmed by the Constitutional Court.

> (2) A court which makes an order of constitutional invalidity referred to in subsection (1) may grant a temporary interdict or other temporary relief to a party, or may adjourn the proceedings, pending a decision of the Constitutional Court on the validity of the law or conduct concerned.
>
> (3) Any person with a sufficient interest may appeal, or apply, directly to the Constitutional Court to confirm or vary an order concerning constitutional validity by a court in terms of subsection (1)."

[63] In *Mupungu v Minister of Justice et al* 2021(2) ZLR 113, (CC), this Court stated:[1]

> "There can be no doubt that, in terms of s 175(1) of the Constitution, the High Court, as a subordinate court, is perfectly competent to make an order of constitutional invalidity. However, any such order will have no force or effect unless it is confirmed by this Court. This is because s 167(3) and s 175(1) explicitly declare that an order of constitutional invalidity made by another court has no force before and unless that order is confirmed by the Constitutional Court. Section 167(3) also makes it clear that this Court makes the final decision as to whether an Act of Parliament or conduct of the President or Parliament is constitutional. Sections 175(1) and 167(3) serve distinct yet harmonious purposes, emphasising the express oversight of this Court over orders of constitutional invalidity made by subordinate courts. See *Makamure* v *Minister of Public Service, Labour and Social Welfare & Anor* CCZ 01/20, at p 2. Thus, s 175(3) vests in this Court the exclusive competence to preside over confirmation proceedings, in which proceedings the Court makes the final determination as to whether any law or conduct of the President or Parliament is consistent or inconsistent with the Constitution."

[64] In accordance with the Constitution, this Court alone can make an order of constitutional invalidity in respect of an Act or the conduct of the President that is final and binding. It follows, therefore, that in confirmation proceedings, this Court is enjoined to undertake a two-pronged inquiry in determining whether to confirm or decline to confirm an order of constitutional invalidity made by a lower court. Before this Court can consider the substantive correctness of the decision declaring a particular law constitutionally invalid, it must first be satisfied that the constitutional challenge was properly and competently before the court *a quo*

[1] At pp133A-C

and that the procedures adopted in determining the challenge were in accordance with the requirements of constitutional adjudication.

[65] It is settled that in confirmation proceedings this Court exercises review powers. Thus, where an irregularity is discerned in the proceedings culminating in a declaration of invalidity, this Court is vested with the power to rectify such an anomaly. That power is, however, circumscribed by the nature and gravity of the irregularity.

[66] The approach adopted above is fortified by the very rationale underlying confirmation proceedings, namely, the imperative of ensuring legal certainty. Constitutional adjudication, by its nature, affects not only the immediate litigants to the disputation but also the broader legal order. It is, therefore, essential that questions concerning the validity of legislation be resolved authoritatively and conclusively, to avoid a state of normative ambiguity. In this regard, du Plessis *et al*., in *Constitutional Litigation* at p 94, observe as follows:

> "In *Director of Public Prosecutions, Transvaal v Minister for Justice and Constitutional Development and Others* the Constitutional Court set out the clear purposes of s 172(2):
>
> > [T]he first is to ensure that it is only this court that has the power to declare invalid provisions in national or provincial legislation on the grounds that they are inconsistent with the Constitution. This purpose flows from the express language of s 172(2). The second purpose, perhaps less plain from the text, is the constitutional purpose of avoiding disruptive legal uncertainty."

[67] The assumption of jurisdiction by the court *a quo* over this matter requires examination. The respondents all contend that although the High Court had jurisdiction, it assumed such jurisdiction in the absence of a live dispute. This argument must therefore be examined in the light of the papers filed on the record.

Whether or not there was a live dispute before the court *a quo*.

[68] The principal function of any court is to preside over and adjudicate on live disputes. It is not the business of courts to dispense legal advice, nor do courts exist as lecture theatres where those in search of theoretical issues on the law are debated. The function of the courts is to engage and adjudicate on real controversies requiring resolution in one respect or another. The existence of a live dispute between the parties is a jurisdictional prerequisite to the exercise of judicial power. A court cannot properly assume jurisdiction in the absence of a real and subsisting controversy. The proceedings must disclose a concrete dispute that directly affects the legal rights or obligations of the parties at the time of adjudication. Put differently, there must be a genuine conflict of interests calling for judicial resolution, such that the Court's determination will have a practical and tangible effect, rather than amounting to an abstract, academic, or hypothetical pronouncement.

[69] This principle has been succinctly articulated by Currie and de Waal in *The Bill of Rights Handbook*, 6th ed., at pp 85, where they state:

> "The powers granted to the judiciary by the Constitution must be used to decide real and not hypothetical disputes and, therefore, before a court is willing to provide constitutional relief it has to be established that the applicant faces an actual or imminent harm to a right."

[70] That there is a duty incumbent upon courts to refrain from determining matters in the absence of a live dispute was emphatically reaffirmed in *Combined Harare Residents' Association* CCZ 3/24 at pp 48, para 144 thus:

> "In my view, it is not in the public interest for constitutional matters to be determined in the absence of justiciable issues. First, determining matters in the absence of concrete disputes would lead to the waste of judicial resources. Second, it may result in chaos and disorder as litigants may challenge the constitutionality of every piece of legislation in the absence of any live disputes. Therefore, there seems to be good policy grounds for precluding the determination of abstract constitutional questions until a live controversy relating to those questions has risen."

[71] These authorities underscore that justiciability is not a technical formality, but a foundational constraint on judicial power, rooted in both constitutional principle and sound public policy. Thus, the fundamental principle underlying the assumption of jurisdiction by any court is that it should decide only cases entailing a real, earnest, and vital controversy between litigants and not entertain merely hypothetical cases that are only of academic interest, which principle is generated by the higher principle of avoidance.[2]

[72] All the respondents have argued that no live or justiciable dispute existed before the court *a quo*. In my view, the argument that there was no live dispute before the court *a quo* cannot be seriously entertained.

[73] The very arguments advanced by the respondents confirm the existence of a live dispute.

[74] First, the respondents argued that the applicants have not exhausted those alternative remedies provided by the law to cater for their situation. Taken to its natural conclusion, specifically the contention by Mr *Magwaliba* that a dispute would only have arisen had the applicants first invoked s 89 of the Insolvency Act and the third respondent had failed to comply, in which event a concrete complaint could have been brought before the court giving rise to a proper controversy, suggests that there was indeed a live dispute. Section 89 ensures that employees are paid when a company is insolvent. Such payments are only made in respect of claims accepted by the liquidator. In the absence of a live dispute, on what premise would the applicants invoke s 89 for the payment of terminal benefits.

[75] Further, it is contended by the respondents that s 28(2) merely suspends payment but does not remove the obligations by the administrator to pay. There cannot be a suspension of

[2] Currie & De Waal-The Bill of Rights Handbook- at p72

something that does not exist. The respondents accept that the terminal benefits are due and owing. The suggestion that there was no refusal to pay is in stark contrast to the actions by the administrator evicting them and ignoring their request for leave to claim their benefits. These actions indisputably point to a controversy that had crystallised. Therefore, there is no substance to the submission that the constitutional challenge was abstract, premature, and was raised "in the air" and that the court *a quo* improperly assumed jurisdiction. The third respondent relies on the impugned section to justify the administrator's refusal to pay.

[76] It is critical to observe that, although the third respondent denies the existence of a live dispute, it suggests that the matter be remitted to the court *a quo* for it to examine and decide whether there is a conflict between s 28(2) of the Reconstruction Act and s 2A (3) of the Labour Act for a determination on which prevails over the other. Such a submission can only be logical where the court is seized with a live dispute.

[77] The applicants, having been either dismissed or retrenched by their erstwhile employer, are owed terminal benefits. That these are due is not disputed. During the process for their eviction from company accommodation they sought to defend such eviction by claiming a lien over those premises resulting from unpaid terminal benefits. The court rejected the claimed defence. They then requested the administrator to give them leave to initiate proceedings. He did not respond to their written request. They are unable to claim their dues not because they do not wish to do so. The reason for this is s 28(2). It stands in their way and, as it is the law, the administrator must comply with it.

[78] The applicants were, as a matter of law, directly and materially affected by the operation of s 6(b) of the Reconstruction Act, which barred them from instituting or continuing any

proceedings against the third respondent without the leave of its administrator. The section provides that:

> "**Effect of reconstruction order**
> A reconstruction order shall have the following effect, namely that—
>
> (a) …
>
> (b) no action or proceeding shall be proceeded with or commenced against the company except by leave of the administrator and subject to such terms as the administrator may impose;…"

[79] This provision did not merely create a procedural inconvenience; rather it imposed a substantive legal barrier to the applicants' access to judicial remedies. The applicants were therefore confronted with a real and immediate legal impediment affecting the enforcement of their rights. In addition, the respondents have in unison argued that the applicants have failed to exhaust alternative remedies. As demonstrated above, the resort to s 89 is not only impractical, it is, for practical purposes, unavailable.

[80] Nevertheless, the practical effect of s 6(b) is to vest in the administrator extensive discretionary power, not only to determine whether proceedings may be instituted against the company, but also to prescribe the conditions under which such proceedings may be pursued. Such a provision places the vindication of legal rights at the mercy of an executive functionary, rather than an independent court.

[81] The fact that the applicants have not filed any proceedings seeking payment of their terminal dues does not, and cannot, on the face of it negate the existence of a live dispute; on the contrary, it demonstrates its intensity. The applicants were genuinely aggrieved by the non-payment of their terminal benefits for nearly two decades as a direct consequence of the third respondent's reconstruction status. This was not an abstract or academic grievance, but a

concrete and continuing legal injury affecting the applicants' economic rights and dignity. Section 6(b) effectively non-suited them from ordinary litigation, while s 28(2) stripped them of statutory labour protections. The dispute, therefore, went to the heart of their enforceable legal entitlements.

[82] In these circumstances, the matter before the court *a quo* plainly involved a real, live, and justiciable controversy, properly invoking the court's constitutional jurisdiction.

The implications of s 2A(3) of the Labour Act.

[83] The position of the third respondent is that the failure by the court *a quo* to consider the application against the provisions of the Labour Act, in particular s 2A(3), renders the proceedings before it an irregularity. Pursuant thereto, it is argued on behalf of the third respondent that the proper course to adopt is a remittal for the court *a quo* to address its mind to the implications of s 2A(3) to the application. It is to that contention that I first turn my attention.

[84] The court *a quo*'s failure to interrogate the potential conflict between s 28(2) of the Reconstruction Act and ss 13 and 2A(3) of the Labour Act is pivotal as it was not determined by the court *a quo* and may have a direct bearing on how this matter is to be resolved.

[85] *In casu*, the court *a quo* has already declared s 28(2) of the Reconstruction Act constitutionally invalid. That declaration, however, remains inchoate unless and until it is either confirmed, varied, or set aside by this Court. It is therefore incumbent upon this Court to pronounce definitively on the matter to avert a situation in which the legal status of the impugned provision remains uncertain. Such uncertainty would be inimical to the rule of law, which demands clarity, predictability, and finality in constitutional interpretation.

[86] The proposition that this Court may determine an issue not expressly decided by the lower court in confirmation proceedings is well supported by comparative jurisprudence, particularly, where doing so is necessary to prevent ongoing legal ambiguity. In South Africa, the Constitutional Court, relying on the principle that legal uncertainty ought to be prevented, dealt with confirmation proceedings despite the existence of factors that would in normal course, have prevented the Court from doing so. A case in point is that of *Zantsi* v *Council of State, Ciskei & Ors* 1995 (4) SA 615 (CC) at para 8. Du Plessis et al, *op. cit*[3], state that in the *Zantsi* case, Chaskalson P noted that the need to avoid legal uncertainty formed the basis upon which the court decided to deal with the issue, despite the fact that the issue referred to the court for constitutional adjudication was not relevant to the case which had to be decided by the High Court.

[87] The principle that emerges is that confirmation proceedings should not be approached with undue formalism; rather, they must be informed by the broader constitutional imperative of securing a clear and authoritative statement of the law.

[88] In my view, although the court *a quo* did not engage with the potential conflict between s 28(2) of the Reconstruction Act and ss 13 and 2A(3) of the Labour Act, this Court is fully capable of resolving the issue. The parties have presented extensive written and oral submissions to this Court, which enable a proper and informed determination. To remit the matter would serve no useful purpose and would merely prolong litigation, to the manifest prejudice of the applicants, whose livelihoods and economic security have been severely impacted upon by the reconstruction of the third respondent.

[3] At p 103

[89] Consequently, I find no merit in the submission by Mr *Magwaliba* that the matter be remitted to the court *a quo*. Remittal would perpetuate the very legal uncertainty that confirmation proceedings are designed to eliminate. The interests of justice, the demands of constitutional clarity and the need for finality all militate strongly in favour of this Court determining, at this stage, the alleged conflict between s 28(2) of the Reconstruction Act and ss 13 and 2A(3) of the Labour Act.

[90] I now move to determine whether there is indeed any conflict between s 28(2) of the Reconstruction Act and s 13 as read with 2A(3) of the Labour Act. This is an issue connected with a constitutional matter.

Whether or not s 28(2) of the Reconstruction Act overrides s 13, as read with s 2A (3) of the Labour Act.

[91] The central question for determination is which of the two statutes, the Reconstruction Act or the Labour Act, prevails in the event of inconsistency. The first and second respondents, invoking the maxim *lex specialis derogat legi generali*, which states that a specific law overrides a general law on a particular subject matter, argue that s 28(2) of the Reconstruction Act constitutes special legislation enacted to address extraordinary economic circumstances affecting State-indebted and insolvent companies. Their position is that the impugned legislative instrument merely suspends, temporarily, statutory obligations, including those arising under s 13, imposed by the Labour Act, itself an Act of general legislation regulating ordinary employment relationships. The contention is that payment can be made within a reasonable period in terms of s 28(2).

[92] In the present dispute, the view I take is that the existence of a general statute that contains an express prevalence clause may serve as an exception to the operation of the *lex specialis* maxim. Section 2A (3) of the Labour Act provides in unequivocal terms that the Labour Act shall prevail over any other enactment inconsistent with it. This provision, framed in peremptory language, is a clear legislative directive that the Labour Act enjoys supremacy over all other legislation in matters concerning labour relations. As this Court observed in *Ndlovu & Anor* v *Ndlovu & Anor* SC 133-02 at pp 2–3, peremptory statutory provisions admit of no discretion and require strict compliance with their terms.

[93] Quite clearly, therefore, s 2A(3) of the Labour Act reflects a conscious and deliberate legislative choice to displace the ordinary hierarchy between general and special labour legislation. As Botha explains in *Statutory Interpretation: An Introduction for Students*, 5th ed (2012) at pp 22–23, a statute that contains a prevalence clause is elevated above ordinary legislation in the event of conflict, regardless of whether such legislation is general or special in character. The submission advanced by the first and second respondents overlooks this decisive feature. The *lex specialis* maxim cannot, therefore, be invoked to defeat an express legislative command. To hold otherwise would be to subordinate clear statutory intent to a mere interpretive presumption.

[94] The first and second respondents further submit that s 13 of the Labour Act does not apply to companies or employees under reconstruction on the basis that the provision does not expressly refer to reconstruction. In my view, that submission is wholly untenable. Section 13 regulates employee entitlements upon termination of employment, whether by dismissal, retrenchment, incapacitation, resignation, or death. Reconstruction does not constitute a distinct

category of termination; it is merely a factual context within which termination may occur. The legal consequence remains termination of employment, to which s 13 squarely applies.

[95] More fundamentally, s 3(1) of the Labour Act provides that the Act applies to all employers and employees, save for those categories expressly excluded. Employees of companies under reconstruction are not amongst the class of employees excluded from the ambit of the Labour Act. The breadth and mandatory character of s 3(1) leave no room for interpretive manipulation. As BHUNU JA stated in *City of Gweru* v *Masinire* SC 56-18 at p 9:

> "The section is couched in clear and unambiguous peremptory terms, such that the problem of interpretation does not arise at all. All that the lawgiver is saying is that the Labour Act applies to all employees except those it expressly excludes from its domain. In other words, the Labour Act applies to all employees except those whom the legislator has expressly excluded from its application."

[96] It follows, inevitably, that s 13 applies with full force to employees whose contracts of employment are terminated in the course of a company's reconstruction. Any contrary interpretation would amount to the judicial creation of an exclusion that the Legislature has deliberately declined to enact.

[97] In contrast, the third respondent adopted a more nuanced position, submitting that no genuine inconsistency arises if s 28(2) is read together with s 28(3) of the Reconstruction Act. Section 28(2) and (3) provides as follows:

> "**28 Persons employed by company before its reconstruction**
> (2) The provisions of the Labour Act [Chapter 28:01] with respect to the retrenchment, dismissal or termination of the employment of employees shall not apply to any employee of a company under reconstruction whom the administrator retrenches, dismisses or otherwise does not retain in the employment of the company.
> (3) For the avoidance of doubt it is declared that section 103 of the Insolvency Act [Chapter 6:04] shall apply to the salary or wages of any employee of the company under reconstruction whom the administrator retrenches, dismisses or does not retain in the employment of the company."

[98] Section 28(3) thus provides that s 103, now s 89, of the Insolvency Act applies to employees of a company under reconstruction. On that basis, the third respondent contended that the apparent conflict between s 28(2) of the Reconstruction Act and ss 2A(3) and 13 of the Labour Act is neutralized by s 28(3). Relying on *Zimbabwe Township Development (Pvt) Ltd* v *Lou's Shoes (Pvt) Ltd* 1983 (2) ZLR 376 (S), the third respondent urges this Court to adopt a constitutionally compliant interpretation that harmonizes the two statutes.

[99] The argument advanced is in this context unsustainable. The plain and unambiguous effect of s 28(2) of the Reconstruction Act is to exclude a defined class of employees from the protective ambit of the Labour Act. Section 28(3) does not restore those protections, nor does it qualify or retract the exclusion effected by s 28(2). Its reference to s 103 (now s 89) of the Insolvency Act serves a limited and specific purpose, namely to regulate the ranking and treatment of employee wage claims within an insolvent estate. It does not confer substantive labour rights, nor does it reincorporate employees under reconstruction into the Labour Act regime. Accordingly, s 28(3) does not cure, mitigate, or harmonise the inconsistency created by s 28(2). On the contrary, the conflict remains direct, substantive, and irreconcilable.

[100] The final limb of the third respondent's argument is that the Reconstruction Act and the Labour Act can be harmoniously construed so that no conflict arises between them. That submission, however, cannot withstand scrutiny. As already noted, s 28(2) of the Reconstruction Act expressly excludes the application of the Labour Act, while s 2A (3) of the Labour Act, in equally explicit terms, provides that the Labour Act shall prevail over any other enactment inconsistent with it. The two provisions are, therefore, directly and irreconcilably opposed. The issue that arises is whether such inconsistency can be reconciled through interpretive techniques,

or whether, applying established principles of legislative hierarchy and implied repeal, one statute must yield to the other.

[101] It is indeed a settled principle of statutory interpretation that legislative provisions should not be read in isolation, but rather in their proper context and in light of the object and purpose of the statute as a whole. In *Biltrans Services (Pvt) Ltd* v *Minister of Public Service, Labour and Social Welfare & Ors* 2016(2) ZLR 306 (CC) pp 309C-E, the Constitutional Court cautioned against a piecemeal approach to statutory interpretation in the following terms:

> "It is clear from submissions made on its behalf that the applicant has fallen into the mistake of reading the provisions of s 92E(2) in isolation from the rest of the section. Such a piecemeal approach to the law offends against the settled rule of interpretation to the effect that legislative provisions must be read in their context, and construed with proper regard to the subject matter the instrument deals with and the object it seeks to achieve. A statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant. A court must not in expounding a statute be guided by a single sentence or member of a sentence. It must look to the provisions of the whole law, and to its object and policy."

See also *Remo Investment Brokers (Pvt) Ltd & Ors* v *Securities Commission of Zimbabwe* SC 85-14 at pp 8–9.

[102] However, while courts are enjoined to favour harmonious interpretations, harmony cannot be manufactured where the language contained in different statutory provisions is clear, explicit, and contradictory. Where provisions are plainly irreconcilable, judicial interpretation cannot bridge the divide without distorting legislative intent. In *Tamanikwa & Ors* v *Zimbabwe Manpower Development Fund* 2013(2) ZLR 46 (S) at p 54F-G, the Court articulated the governing principle for resolving conflict between statutes, as follows:

> "There is a general rule of statutory interpretation that where two statutes are in conflict with each other, the later statute, by virtue of the principle of *lex posterior derogat priori*, is deemed to be the superior one on the basis of implied repeal. This is because it is presumed that when the legislature passes the latter Act it is presumed to have knowledge of the earlier Act."

See also *Nimr & Chapman (Pvt) Ltd & Ors* v *Zimbabwe Electricity Supply Authority* HB 8-05.

[103] These authorities establish that, where two statutes are irreconcilable, the later enactment must prevail. In determining which of the two statutes before this Court is the later one, regard must be had not merely to the original dates of enactment, but to the specific provisions giving rise to the conflict. The Labour Act initially came into operation on 15 December 1985, while the Reconstruction Act commenced on 25 February 2005. Crucially, however, s 2A(3) of the Labour Act, the provision asserting the Act's supremacy over all inconsistent enactments, was itself introduced by the Labour Amendment Act No. 7 of 2005. It is, therefore, a later legislative expression than s 28 of the Reconstruction Act and must, by application of settled interpretive principles, prevail over it to the extent of any inconsistency.

[104] The amendment to the Labour Act came into operation on 30 December 2005, approximately nine months after the Reconstruction Act had become effective. Accordingly, while the Reconstruction Act postdates the original enactment of the Labour Act, it predates the 2005 amendment that expressly asserted the supremacy of the Labour Act over all inconsistent legislation. It follows that, by operation of the doctrine of implied repeal, the Reconstruction Act cannot prevail over the Labour Act in matters of labour regulation, to the extent of any inconsistency.

[105] The test for determining whether an earlier statute has been repealed by implication was authoritatively set out in *Tamanikwa supra*, where the Court stated:[4]

> "In *Heavy Transport & Plant Hire (Pty) Ltd & Ors v Minister of Transport Affairs & Ors* 1985 (2) SA 597, NESTADT J stated:
>
> > 'The principle is that statutes must be read together and the later one must not be so construed as to repeal the provisions of an earlier one or to take away rights conferred by an earlier one unless the later statute expressly alters the provisions of the earlier one in that respect, or such alteration is a necessary inference from the terms of the later statute. The inference must be a necessary one and not merely a possible one.'
> >
> > *(Kent N.O. v South African Railways and Another* 1946 AD 398 at 405). As KOTZE AJA stated in *New Modderfontein Gold Mining Co v Transvaal Provincial Administration* 1919 AD 367 at 400:
> >
> > 'It is only when the language used in the subsequent statute is so manifestly inconsistent with that employed in the former legislation that there is a repugnance and contradiction, so that the one conflicts with the other, that we are justified in coming to the conclusion that the earlier Act has been repealed by the later one.'."

[106] Further, at p 55D-F, the Court went on to state:

> "DIEMONT AJA in the *Wendywood* case had occasion to quote with approval the remarks of WATERMEYER CJ in *Kent, N.O. v South African Railways and Another* 1946 AD 398, to the following effect:
>
> > 'The language of every enactment must be so construed as far as possible to be consistent with every other which it does not in express terms modify or repeal. The law, therefore, will not allow the revocation or alteration of a statute by construction when the words may have their proper operation without it. But it is impossible to will contradictions; and if the provisions of a later Act are so inconsistent with or repugnant to those of an earlier Act that the two cannot stand together, the earlier stands impliedly repealed by the later.'."

[4] At 54G-55B

[107] The governing principle that emerges from these authorities is that implied repeal is not lightly inferred. It arises only where there is a clear, unavoidable, and irreconcilable inconsistency between two enactments. Courts are enjoined, as far as possible, to construe statutes harmoniously and to give full effect to each. Repeal by implication will, therefore, be recognized only where the conflict is so direct and fundamental that both statutes cannot logically operate together. In the absence of such irreconcilability, the earlier statute remains in force.

[108] *In casu*, the inconsistency between the two statutes is plain, direct, and irreconcilable. Section 28(2) of the Reconstruction Act purports to exclude employees of companies under reconstruction from the protective regime of the Labour Act. In stark contrast, ss 2A (3) and 3(1) of the Labour Act affirm its universal application and its supremacy over any other enactment inconsistent with it. Given that s 2A (3) of the Labour Act was inserted after the Reconstruction Act, it must, in accordance with settled principles of statutory interpretation, prevail over it to the extent of any inconsistency.

[109] Additionally, the insertion of s 2A (3) reflects a deliberate and unmistakable legislative choice to entrench the Labour Act as the pre-eminent statute governing labour relations in Zimbabwe. This intention is aptly captured by Madhuku in *Labour Law in Zimbabwe* (Harare: Weaver Press, 2015) at pp 5–6, where he states:

> "For all employers and employees covered by the Labour Act, any other piece of legislation which may apply to them only has validity if it is consistent with the Labour Act. This is by virtue of section 2A(3) which provides:
> *This Act shall prevail over any other enactment inconsistent with it.*
>
> The impact of this provision is that other pieces of legislation may regulate labour matters to an extent not inconsistent with the Labour Act. For example, provisions regulating labour matters in the Urban Councils Act [Chapter 29:15] are valid as long as they are not inconsistent with the Labour Act. This provision has put to rest the

> controversy about whether or not the Labour Act is superior to other pieces of legislation on labour matters." (emphasis added)

[110] This commentary underscores the legislative intent to establish the Labour Act as the primary and controlling framework for employment and labour relations. The insertion of s 2A (3) is not merely declaratory; it creates a binding hierarchy of labour legislation, ensuring that all other enactments operate subject to the Labour Act. Any statute inconsistent with it must therefore yield to its supremacy within the domain of labour law.

[111] It seems to me that the inclusion of a prevalence clause such as s 2A (3) by the legislature in a statute is specifically designed to resolve conflicts between statutes and to give decisive effect to legislative intent. Such a provision cannot be overridden by implication or interpretive ingenuity. As BHUNU JA stated in *City of Gweru* v *Masinire, supra,* at p 10:

> "In terms of s 2A of the Labour Act the Legislator has decreed it to prevail over any other enactment inconsistent with it. What this means is that whatever the provisions of the Urban Councils Act might be, they cannot exclude the application of the Labour Act to any employee. It is only the Constitution and the President by statutory instrument that can override the application of the Act over any employee."

[112] The import of these remarks is unambiguous. The application of the Labour Act may only be limited by express constitutional provisions or by a statutory instrument issued by the President in terms of the Presidential Powers (Temporary Measures) Act [*Chapter 10:20*]. It follows, therefore, that an ordinary Act of Parliament such as the Reconstruction Act cannot lawfully derogate from the Labour Act's supremacy in labour matters.

[113] The constitutional dimension of this dispute cannot be understated and is of particular significance. Section 65(1) of the Constitution guarantees to every person the right to fair and safe labour practices and standards and to be paid a fair and reasonable wage. This right is given

concrete expression through the Labour Act, notably ss 6, 8, 9, and 10, which collectively prohibit unfair labour practices and entrench minimum standards of fairness in employment relations. To date, the Constitution has not been amended in any manner that can plausibly be construed as subordinating the Labour Act to the Reconstruction Act. On the contrary, the constitutional framework affirms, rather than diminishes, the centrality of statutory labour protections.

[114] It is, however, apposite to state that the Reconstruction Act initially originated as emergency regulations made under the Presidential Powers (Temporary Measures) (Reconstruction of State Indebted Insolvent Companies) Regulations, 2004, published as Statutory Instrument 187 of 2004. These regulations were subsequently enacted into law, with effect from 25 February 2005. Section 2(1)(c) of the Presidential Powers (Temporary Measures) Act provides that the President may make urgent regulations only **"subject to the Constitution and this Act**" (emphasis added). The provision states:

> "Making of urgent regulations
>
> (1) When it appears to the President that—
>
> (a) a situation has arisen or is likely to arise which needs to be dealt with urgently in the interests of defence, public safety, public order, public morality, public health, the economic interests of Zimbabwe or the general public interest; and
>
> (b) the situation cannot adequately be dealt with in terms of any other law; and
>
> (c) because of the urgency, it is inexpedient to await the passage through Parliament of an Act dealing with the situation;
>
> **then, subject to the Constitution and this Act, the President may make such regulations as he considers will deal with the situation**." (emphasis added)

[115] Section 2 of the Constitution proclaims the supremacy of the Constitution and provides that any law, practice, custom, or conduct inconsistent with it is invalid to the extent of the inconsistency. The requirement that urgent regulations be made "subject to the Constitution" is, therefore, not a procedural nicety, but a substantive constitutional constraint. It operates as a

fundamental safeguard against executive overreach and ensures that the exercise of emergency powers remains anchored in constitutional legality, respect for human rights, and the rule of law.

[116] It is also correct that s 5 of the Presidential Powers Act provides that regulations made under the Act prevail, to the extent of any inconsistency, over other laws, save for those made under the Emergency Powers Act [*Chapter 11:04*]. Given that the Reconstruction Act originated as regulations promulgated under S.I. 187/2004, the regulations may initially have enjoyed precedence over other legislation, including the Labour Act. However, any such precedence was necessarily provisional-and only temporary for the six months duration of S.I. 187/2004 per s 6(1) of the Presidential Powers Act. The subsequent amendment of the Labour Act through the insertion of s 2A(3), which expressly asserts the supremacy of the Labour Act over all inconsistent enactments, displaced that earlier hierarchy. From that point onwards, the Reconstruction Act could no longer override the Labour Act in matters of labour regulation. To the extent of any inconsistency, the Reconstruction Act must be regarded as impliedly repealed.

[117] In the result, I am satisfied that s 28 of the Reconstruction Act does not override ss 2A (3) and 13 of the Labour Act. Any interpretation to the contrary would not only disregard clear legislative intent, but would also serve to undermine constitutionally protected labour rights guaranteed under s 65(1) of the Constitution.

[118] I have already found, above, that s 28(2) of the Reconstruction Act does not override s 13 as read with s 2A(3) of the Labour Act. Thus, this means that s 28(2), to the extent that it operates to exclude the application of the Labour Act, particularly s 13, to employees of companies under Reconstruction, is invalid. The Labour Act exists to give effect to the labour rights enshrined in s 65 of the Constitution. Thus, by purporting to exclude the employees of a

company under reconstruction from the protections of the Labour Act, the section is constitutionally invalid.

[119] A finding that s 28(2) is inconsistent with s 2A(3) of the Labour Act must lead to the conclusion inevitably that that the matter before the court *a quo* could have, and ought to have been resolved without resort to remedies under the Constitution. It now behooves me to consider whether there are remedies available to the applicants other than under the Constitution.

Whether or not the applicants had alternative remedies which they could have pursued.

[120] Mr *Magwaliba*, in his submissions before the Court, contended that the administrator's powers may be challenged on review either in terms of the common law, s 4 of the Administration of Justice Act *[Chapter 10:28*], (the AJA) or s 27 of the High Court Act *[Chapter 7:06.*] I am unable to comment on the correctness of that submission. The availability of a remedy under AJA was not sufficiently argued before the Court to enable me to arrive at a justiciable finding on the issue. The inescapable fact is that s 28(2) is valid law and as long as the administrator obeyed the precepts of the provision, the applicants would have no basis for taking him on review. In any case, this was not an issue for determination before the court *a quo* and it will not detain the Court nor should it.

[121] The further argument proffered on behalf of the third respondent is that the applicants erroneously relied on a speculative and subjective interpretation of s 28(2) without exhausting available statutory remedies. As I have already indicated above, the High Court did not advert to the inconsistency that obviously exists between s 28(2) and s 2A (3) of the Labour Act nor was it

asked to do so. Resort to this was available and the applicants, in accordance with the doctrine of avoidance should have proceeded to deal with the matter as contended by the respondents.

[122] What must be accepted is that the remedy available to the applicants was invoking the provisions of s 2A(3) of the Labour Act in order to determine which of the provisions between s 2A(3) and s 28(2) was the prevailing provision. That the applicants should have brought s 28(2) to court for an appropriate order is the route that they ought to have taken instead of approaching the court a quo alleging violation of enshrined rights under the Constitution. The argument that resort to the constitution was premature is merited.

[123] The finding that the resort to constitutional remedies was premature is in accordance with the doctrine of avoidance that directs court to refrain from adjudicating matters on constitutional basis where other statutory remedies are available. The concept of ripeness is part of the avoidance doctrine and courts have applied it in circumstances where litigants have alternative remedies either through statutory provisions or common law. Ripeness is concerned with the timing of a constitutional challenge and must be considered against the justiciability of the dispute. Application of the concept prevents courts from adjudicating on a constitutional issue attached to a dispute until the administratively prescribed remedy has been exhausted. It is thus said that the constitutional issue is not ripe before indirect application or non-constitutional remedies have been exhausted.

[124] In *Ruvinga v Porticullis (Pvt) Ltd* CCZ 21/17, this Court stated:

> "In *Everjoy Meda v Maxwell Matsvimbo & Others,* CCZ 10/2016 MALABA DCJ (as he then was) stated:
>
> > '… the court also accepts Mr *Mpofu's* preliminary point that the applicant should have exhausted the remedy of an appeal instead of making a constitutional application. The law provides a clear remedy of an appeal where an applicant is not happy with a decision of a lower court. Competent relief could have been granted by the Supreme Court on appeal …'

In the South African case of *State v Mhlungu* 1995 (3) SA 867 (CC) at para 59, cited with approval in *Everjoy Meda v Maxwell Matsvimbo Sibanda & 3 Others*, CCZ 10/2016, it was stated that where it is possible to decide any case, whether civil or criminal, without reaching a constitutional issue, that is the course that should be followed. Also cited with approval is the United States Supreme Court decision in *Spector Motor Service, Inc v Mclaughlin,* 323 US 101, 103 (1944), where the following remark is made:

> '… if there is one doctrine more deeply rooted than any other in the process of constitutional adjudication, it is that we ought not pass on questions of constitutionality … unless such adjudication is unavoidable.'."

[125] I fully associate myself with the above remarks. See also AJ van der Walt*: "Constitutional Property Law" 3 ed Juta p 66, MEC for Education: KwaZulu Natal v Pillay* 2008(1)SA 474(CC) paras 39-40, *Chirwa v Transet Ltd* 2008(2)SA 24(CC) paras. 59, 69."

[126] Notwithstanding the above, after assuming jurisdiction on a constitutional basis, the court *a quo* issued an order declaring s 28(2) to be inconsistent with s 65(1) of the Constitution and as a consequence invalid. If this Court were to decline to comment on the declaration due to procedural issues and leave the declaration as it is, this would result in uncertainty in the law as to the constitutionality of s 28(2) of the Reconstruction Act. Once an order of constitutional invalidity is issued, this Court by constitutional imperative has to conduct a review of the proceedings before the court *a quo* as well as the correctness of the declaration. The review of correctness of the declaration by this Court serves to ensure that there is legal certainty in the law.

[127] This Court, has recently considered the need to delve into and consider a declaration of invalidity made by a subordinate court in the face of irregularities apparent on the record. In *Maponga & Ors v Minister of Justice, Legal and Parliamentary Affairs & Ors* CCZ 5/26, the Court said:

> "[5] Notwithstanding the finding, *inter alia,* that the application was irregular in a number of respects, a declaration of invalidity having been made, the interests of justice dictate that this Court deals with the substance of the dispute, namely the

constitutional validity of s 22A(3), in order to ensure legal certainty. This is the approach taken by the Constitutional Court of South Africa in a number of decided cases – see Max du Plessis, Glenn Penfold and Jason Brickhill, *Constitutional Litigation,* at pp 95-96 and pp 103-104 – and more specifically the remarks by YACOOB J in *Lawyers for Human Rights & Anor* v *Minister of Home Affairs & Anor* 2004(4) SA 125 (CC), at para 24.

[6] My considered view is that this Court should adopt a similar approach. Declining confirmation on the basis, for example, that the application in the Court *a quo* was irregular, that the court should have declined jurisdiction or that the applicants did not demonstrate that they had standing, whilst pertinent in confirmation proceedings, would not result in legal certainty, as the need for clarity on the constitutional validity of the invalidated law would remain. Ultimately, it is this consideration that must prevail. Other considerations must remain subsidiary to this overarching requirement".

[128] I fully associate myself with the above remarks and, it is against this backdrop that the Court must now consider the substantive question, namely, whether the order of constitutional invalidity was correctly made.

Whether or not the order of constitutional invalidity issued by the court *a quo* was correct.

[129] In addressing this issue, the Court must determine whether the court *a quo* adhered to the correct approach and procedure in interpreting the relevant constitutional provisions. The established three-step process, articulated at pp 17 in *Combined Harare Residents' Association and Others supra*, is as follows:

"51. The accepted approach referred to above calls upon the Court to interpret the relevant provisions of the Constitution in full as the first step. Having thus established the meaning of the Constitution, the court must then proceed to interpret the full content of the impugned law as the second step. The final step entails comparing the meaning ascribed to the impugned law with the provisions of the Constitution. If the impugned law is capable of two meanings, one contrary to the Constitution and the other in keeping therewith, the court must adopt the meaning that will give effect to the Constitution."

[130] Therefore, I must assess whether the court *a quo*, despite not having determined the effect of s 2A(3) of the Labour Act on the current proceedings, correctly declared s 28(2) constitutionally invalid.

[131] The basis for the court *a quo*'s declaration that s 28(2) of the Reconstruction Act is constitutionally invalid for violating s 65 of the Constitution as read with s 13 of the Labour Act was that the Reconstruction Act prescribes no temporal limits for the completion of reconstruction, with the result that employees' rights and terminal benefits are suspended indefinitely. Hence, the court concluded that s 28(2) is unconstitutional, as it imposes an indefinite, unfair, unreasonable, and disproportionate limitation on employees' rights, bears no rational relationship to the objective of corporate recovery and cannot be justified where less restrictive means, such as the imposition of clear time limits, were readily available.

[132] *In casu*, the court *a quo* correctly commenced its enquiry by interpreting the relevant constitutional provisions, in particular s 65(1), which guarantees every person the right to fair labour practices, and s 86(2), which governs the circumstances under which fundamental rights may be limited. The court *a quo* properly recognised that s 65(1) is a substantive and justiciable guarantee, intended to secure not merely formal legality in employment relations, but also fairness in both the process and outcome. This includes protection against arbitrary deprivation of employment benefits and against statutory schemes that unjustifiably suspend or dilute accrued labour rights.

[133] In my view, the court *a quo* cannot be faulted for granting the declaration of constitutional invalidity. While it is accepted that the fundamental rights enshrined in the Declaration of Rights are not absolute and are subject to limitations, such limitations have to be

exercised within the established parameters. These parameters are set out in s 86(2) of the Constitution, which states that:

> "(2) The fundamental rights and freedoms set out in this Chapter may be limited only in terms of a law of general application and to the extent that the limitation is fair, reasonable, necessary and justifiable in a democratic society based on openness, justice, human dignity, equality and freedom, taking into account all relevant factors, including—
>
> (a) the nature of the right or freedom concerned;
>
> (b) the purpose of the limitation, in particular whether it is necessary in the interests of defence, public safety, public order, public morality, public health, regional or town planning or the general public interest;
>
> (c) the nature and extent of the limitation;
>
> (d) the need to ensure that the enjoyment of rights and freedoms by any person does not prejudice the rights and freedoms of others;
>
> (e) the relationship between the limitation and its purpose, in particular whether it imposes greater restrictions on the right or freedom concerned than are necessary to achieve its purpose; and
>
> (f) whether there are any less restrictive means of achieving the purpose of the limitation."

[134] In interpreting s 86(2), the court *a quo* correctly acknowledged that constitutional rights are not absolute, but that any limitation must satisfy a strict proportionality analysis. Having established the constitutional framework, the court *a quo* proceeded, as it was required to do, to interpret the impugned provision, namely s 28(2) of the Reconstruction Act. In doing so, the court was not confined to a purely textual reading but examined both the legal effect and the practical consequences of the provision. It found that s 28(2) operates to suspend the application of labour protections, including the payment of terminal benefits, to employees of companies placed under reconstruction. Importantly, the court *a quo* noted that the suspension is not subject to any express temporal limitation, nor is it accompanied by safeguards to ensure procedural fairness, periodic review, or judicial oversight.

[135] The court *a quo*, in my view, was entitled to conclude that the effect of s 28(2) is to place employees in a state of prolonged legal uncertainty, where accrued rights are withheld indefinitely and where termination of employment does not trigger the ordinary statutory protections under the Labour Act. This is because the practical reality is that reconstruction may persist for years, during which employees remain deprived of terminal benefits that are ordinarily due upon termination of employment. This deprivation is not contingent on individual fault, misconduct, or financial incapacity on the part of the employee, but arises solely by operation of the impugned statutory provision.

[136] As a consequence, the final step for the court *a quo* was to compare the meaning of s 28(2) of the Reconstruction Act and the constitutional standards established under ss 65(1) and 86(2). The court *a quo* correctly found that s 28(2) is incapable of a constitutionally compliant interpretation. The court found that, unlike statutory provisions that admit of alternative constructions, one consistent with the Constitution and another inconsistent with it, s 28(2) bears a singular legal effect: it authorises the indefinite suspension of labour entitlements without procedural guarantees or proportional safeguards. It held that the provision, therefore, could not be saved through interpretive reconciliation and must yield to constitutional supremacy.

[137] I agree with the court *a quo*'s reasoning.

[138] Section 28(2) of the Reconstruction Act cannot be read harmoniously together with the Labour Act, and by extension, s 65(1) of the Constitution. Although it is accepted that reconstruction serves a legitimate public purpose, namely the preservation of economically significant enterprises and the protection of broader economic stability, this objective does not automatically justify the erosion of entrenched labour rights. Section 86(2) requires not merely a legitimate purpose, but also a demonstrable proportionality between the means adopted and the

rights limited. In this regard, the court *a quo* correctly held that the absence of temporal limits renders the limitation excessive and unjustifiable. An indefinite suspension of terminal benefits imposes a severe and open-ended burden on employees, who may be left without income or social security while reconstruction remains unresolved.

[139] Section 28(2) fails to meet this standard. It confers broad power without embedding mechanisms to prevent abuse, stagnation or unreasonable delay. The right to fair labour practices must indeed be contextualized within commercial realities and reconstruction is undoubtedly an extraordinary economic measure. However, constitutional democracy does not permit the suspension of fundamental rights merely because efficiency or expediency is desirable. The public interest in corporate recovery must be balanced against the equally compelling public interest in protecting workers from arbitrary and prolonged deprivation of lawful entitlements. In considering this requirement for balance, s 28(2) fails the proportionality test, as less restrictive means, such as the imposition of reasonable time limits, periodic judicial oversight, or conditional suspension mechanisms, were plainly available but not statutorily applied.

[140] For these reasons, the court *a quo* correctly concluded that s 28(2) of the Reconstruction Act imposes an unfair, unreasonable, and disproportionate limitation on the right to fair labour practices guaranteed by s 65(1) of the Constitution. The provision bears an insufficient rational relationship to its purpose, exceeds what is necessary to achieve economic recovery and cannot be justified in terms of s 86(2). The court *a quo*'s declaration of constitutional invalidity was, therefore, not only permissible but correct.

DISPOSITION

[141] In view of the existence of alternative remedies *in casu*, it must be said that this matter was not ripe for constitutional adjudication. The principle of avoidance bound the applicants *in*

casu in the choice of the law on which to found the cause of action. According to this principle litigants who aver that a right protected by the Constitution has been infringed must exhaust the remedies provided by law to protect that right and may not rely on the underlying constitutional provision directly when bringing action to protect the right, unless they want to attack the constitutional validity or efficacy of the legislation itself.

[142] However, the court *a quo* proceeded to make a declaration of constitutional invalidity and the need for certainty in the law compelled this Court, by constitutional imperative, to review the declaration and pronounce on the order of invalidity.

[143] Section 28(2) fails the proportionality test as it completely removes from employees the fair labour rights enshrined in s 65(1). It imposes an unfair, unreasonable and disproportionate limit to the rights in s 65(1).

[144] Based on the above, I find that the declaration that s 28(2) of the Reconstruction Act is constitutionally invalid was properly made. Accordingly, it is ordered that:

1. The order of constitutional invalidity issued by the High Court under judgment number HMA 8-25 be and is hereby confirmed.
2. Section 28(2) of the Reconstruction of State Indebted Insolvent Companies Act [*Chapter 24:27*] be and is hereby declared to be inconsistent with both s 2A(3) and 13 of the Labour Act *[Chapter 28:01*] and s 65(1) of the Constitution by suspending for an indeterminate period the operation of the Labour Act [*Chapter 28:01*], particularly s 13 of the same, and therefore invalid.

3. The declaration of invalidity in terms of paragraph 2 hereinabove shall not be retrospective and shall not affect the validity of any action taken or anything done prior to the date of this order.

4. The declaration of invalidity in paragraph 2 above is suspended for a period of one hundred and eighty days to enable the responsible Minister to take any action he or she may deem necessary to regularize the matter.

5. There shall be no order as to costs

GWAUNZA DCJ : I agree

GARWE JCC : I agree

HLATSWAYO JCC : I agree

PATEL JCC : I agree

MAVANGIRA AJCC : I agree

MATHONSI AJCC : I agree

Ndlovu & Hwacha applicants' legal practitioners

Civil Division of the Attorney-General's Office 1st and 2nd respondents' legal practitioners

Dube, Manikai & Hwacha 3rd respondent's legal practitioners